

Retirement Accounts

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Agenda

- ◆ Review Characteristics of Retirement Savings Accounts
 - ◆ Tax Advantages, etc.
- ◆ Investing for Retirement
 - ◆ Strategy
 - ◆ Investment Basics
 - ◆ Diversification

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Retirement Savings Account Comparisons



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Tax-advantaged Retirement Savings Accounts

- ◆ If you contribute to a tax-advantaged account, your taxable income is reduced by the amount of the contribution.
- ◆ 100% of your contributed funds are invested and earn a return over the investment period
- ◆ All earnings (interest, dividends, capital gains) are tax free as long as these monies remain in the account.

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Example – Tax-advantaged Retirement Savings Account

	Tax-advantaged Plan	No tax-advantaged Plan
Pre-Tax Income	\$40,000	\$40,000
Less: contribution	<u>\$1,600</u>	<u>\$0</u>
Taxable Income	\$38,400	\$40,000
Less Income Tax (20%)	<u>7,680</u>	<u>8,000</u>
After Tax Income	30,720	32,000
After Tax Contribution	<u>0</u>	<u>\$1,600</u>
Net Spendable Funds	\$30,720	\$30,400
Diff in tax=Diff in spendable funds	\$320	

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Retirement Savings Accounts

	Employer Sponsored (401k, 403b)	Traditional IRA	Roth IRA
Contributor	Employee & Employer	Employee	Employee
Contributions	Tax Deductible	Tax Deductible	Not Deductible
Employer Match	YES	NO	NO
Max EE Contribution/ Catch-up	EE \$23,500 (2025) ER+EE \$70,000 Catchup \$7,500	\$7,000 (2025) Catch-up \$1,000	\$7,000 (2025) Catch-up \$1,000
Income and Gains	Tax Deferred (Ordinary income at withdrawal)	Tax Deferred (Ordinary Income at withdrawal)	Tax-Free
Eligibility	Employer determined	Earned income / AGI Limits Employer Plan	Earned Income / AGI Limits

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Retirement Savings Accounts

	Employer Sponsored (401k, 403b)	Traditional IRA	Roth IRA
Penalty Free Withdrawals	Age 59.5	Age 59.5	Of contributions (5 year rule)
Early Withdrawal Penalty**	10%	10%	10% - only on earnings
Required Withdrawals	Age 72	Age 72	No
Borrow against savings	Employer Defined	No	No
Investment Management	Employee	Employee	Employee

** There are exceptions to penalty – Hardship Withdrawals

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Exceptions to 10% Penalty on Early Withdrawals from Retirement Accounts

- ◆ Adoption Expenses (up to \$5,000)
- ◆ After Death of Participant
- ◆ Total & Permanent Disability
- ◆ Federal Declared Disaster (up to \$22,000)
- ◆ Domestic Violence Victim (lesser of \$10,000 or 50% of account)
- ◆ Divorce (in accordance with QDRO) - (Employer Plans)
- ◆ See IRS.gov for more details
- ◆ Qualified Higher Education Expenses (IRA only)
- ◆ Emergency Personal Expense (up to \$1,000)
- ◆ Qualified First Time Home Purchase (\$10,000)
- ◆ Terminal Illness
- ◆ Medical (>7.5% of AGI), health insurance if unemployed
- ◆ Tax Levy

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Roth Contribution AGI Limits

- To contribute the max to a Roth IRA, single tax filers must have a modified adjusted gross income (MAGI) of less than \$150,000 in 2025. Contributions are limited/phased out between \$150,000 and \$165,000.
- If married and filing jointly, your joint MAGI must be under \$236,000 in 2025 to contribute the full amount. Phase-out limits between \$236,000 and \$246,000.

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Which is best?

- ◆ Are you a disciplined saver?
 - ◆ Yes (You will “pay yourself first” before spending your pay)
 - ◆ Blend – Contribute both to 403b and to a Roth vehicle (Roth IRA or Roth 403b, 401k)
 - ◆ No (You spend whatever comes to your checking account)
 - ◆ Put as much as you can into your 403b/401k
 - ◆ It’s taken out and saved for you before you get your net pay
- ◆ Is money tight today?
 - ◆ Yes - Use your 403b, 401k or other tax-advantaged account
 - ◆ No – Both, 403b/401k and some to a Roth vehicle

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The Saver's Tax Credit

- ◆ If you make contributions to a qualified retirement savings account and meet other requirements:
 - ◆ Income Limit (AGI)
 - ◆ 76,500 (MFJ) - phaseout starts at 46,000
 - ◆ 57,375 (HOH) – phaseout starts at 34,500
 - ◆ 38,250 (Single, MFS, Widow(er) – po starts 23,000
 - ◆ Tax Filing Requirements
 - ◆ Not a dependent
 - ◆ Over 18
 - ◆ Not a full-time student
- ◆ You may qualify for credit of up to \$1,000 (\$2,000 if MFJ) for saving. (Calculated as % of contributions. It's a non-refundable credit – it can take tax to 0 but not provide a refund.)



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Investing for Retirement



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Portfolio Activity

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